IOWN

The Morning Brief

APRIL 20, 2026

Seized

Friday's peace rally gave back overnight after the US Navy seized an Iranian cargo ship and Iran halted Hormuz traffic, pushing the two-week ceasefire to the brink as it expires tomorrow.

S&P 500 (FRI)	BRENT CRUDE	GOLD	BITCOIN	FEAR & GREED
7,101 ↑1.21% · ATH	~$90 ↓7.36% Fri	~$4,900 ↑1.3%	~$76,500 ↑2.8%	29 · Fear (improving)

SECTION 01

Markets

FRIDAY'S PEACE RALLY WAS THE STRONGEST OF THE RECOVERY — THEN THE WEEKEND HAPPENED

Friday delivered a session that encapsulated the market's view of the post-conflict trajectory. The S&P 500 surged 1.21% to a new all-time high of approximately 7,101, the Dow gained 1.77%, the Nasdaq added 1.31%, and the Russell 2000 led at +2.16%. UVXY fell 1.80%. The catalyst was unmistakable: oil collapsed. WTI plunged 7.79% and Brent dropped 7.36% after Iran reportedly opened the Strait of Hormuz to all traffic and reports emerged that the US may release $20 billion in frozen Iranian funds in exchange for enriched uranium stockpiles. The first very large crude carrier cleared Hormuz on April 14 for the first time since the March 2 blockade. Discretionary (+2.36%), industrials (+1.87%), and tech (+1.53%) led sectors. Energy (−2.76%) was the sole meaningful laggard as the war premium unwound at pace. Fear & Greed improved to 29—the first reading outside Extreme Fear since the conflict began February 28. Then the weekend reversed the narrative.

WEEKEND ESCALATION — SHIP SEIZURE, HORMUZ CLOSURE, AND FUTURES DOWN 0.4%

The US Navy seized an Iranian cargo ship over the weekend, with Trump stating they blew a hole in its engine room. Iran responded by firing at vessels and abruptly halting all traffic in the Strait of Hormuz on Saturday, abandoning its earlier commitment to allow passage, according to CNBC. The ceasefire, scheduled to expire tomorrow (April 21), is now on the brink. Mediators have announced an in-principle agreement to extend it beyond April 22, but the White House has not formally agreed, and Iran's Foreign Ministry denied that a second round of negotiations is planned. Trump stated on Sunday that American and Iranian negotiators would resume talks in Islamabad today, though Iran's spokesperson contradicted this. S&P 500 futures are down approximately 0.4% in Monday premarket. European shares slid on the same concerns. Oil is likely rebounding from Friday's 7%+ crash as the Hormuz closure reverses the de-escalation trade.

OIL'S 7% FRIDAY CRASH WAS THE SHARPEST PEACE-DRIVEN DECLINE OF THE CONFLICT

WTI fell nearly 12% intraday on Friday to $83.85 before settling down 7.79%. Brent lost 7.36%. CNBC reported WTI plunged below $84 after Iran declared Hormuz open. The energy sleeve absorbed the full impact: VLO fell 7.48%, CVX dropped 2.21%, OKE declined 2.00%, and CNX shed 2.74%. The structural question now is whether Friday's crash represented the beginning of a sustained unwind of the war premium or a temporary gap that the weekend's escalation will fill. If Hormuz re-closes fully—which Saturday's events

suggest is possible—oil could retrace back toward the $95–$100 range that prevailed before Friday's session. The energy sleeve's role in the portfolio transitions daily between ballast and drag depending on the headline cycle; the underlying thesis of structural supply disruption remains valid until Hormuz transit normalizes to pre-war levels.

GROWTH, GOLD, AND CRYPTO ALL RALLIED ON FRIDAY — THE BREADTH WAS EXCEPTIONAL

The top IOWN performers on Friday spanned every sleeve: GFI surged 5.98% as gold gained 1.33%, HUT rallied 5.61% as Bitcoin rose 2.83%, TOL jumped 5.60% on housing momentum, ADI gained 4.99% on semiconductor strength, and HOOD added 4.49% as the SEC day-trading rule elimination continued to drive engagement. Silver surged 3.35%. IUSG outperformed DVY by over a percentage point. The session represented the broadest participation since the ceasefire was announced—every non-energy cohort participated in the advance. The question for today is whether the weekend's ship seizure reverses this breadth or whether the market treats it as a temporary disruption in what it increasingly views as a de-escalation trajectory.

S&P 500	7,101 Fri ATH · Futures ↓0.4% Mon AM
WTI CRUDE	↓7.79% Fri · Iran opened Hormuz · Then re-closed Saturday
BRENT CRUDE	↓7.36% Fri · Reports of $20B frozen funds deal
SHIP SEIZURE	US Navy seized Iranian cargo ship · Iran halted Hormuz
FEAR & GREED	29 · First reading outside Extreme Fear since Feb 28
CEASEFIRE	Expires tomorrow April 21 · Extension unconfirmed

The market spent seven weeks learning one lesson: every peace signal gets tested, and every test reveals whether the underlying trajectory has changed. Friday's oil crash suggested the market believes the war is ending. Saturday's ship seizure asked whether the market is right. Tomorrow's ceasefire expiry provides the answer. **Avoid Erosion.**

Geopolitics

THE CEASEFIRE IS AT THE BRINK — EXTENSION CLAIMED BUT UNCONFIRMED

The two-week ceasefire, mediated by Pakistan and announced April 8, is set to expire tomorrow, April 21. Mediators have announced an in-principle agreement to extend it beyond April 22, aiming to facilitate negotiations on Hormuz reopening, Iran's 10-point proposal, and the linked Lebanon ceasefire. However, the White House told reporters that the US has not formally agreed to an extension, and Iran's Foreign Ministry has denied reports of an extension, according to CNBC. The disconnect between mediators' claims and the principals' denials mirrors the pattern from the original Islamabad talks, where both sides denied negotiations even as they were underway. For markets, the ambiguity is the point: the ceasefire may be extended de facto even if neither side acknowledges it formally, preserving the diplomatic space without the political cost of a public concession.

SHIP SEIZURE AND HORMUZ REVERSAL — THE WEEKEND THAT TESTED THE PEACE THESIS

The US Navy's seizure of an Iranian cargo ship represented the most provocative direct US-Iran military interaction since the blockade began. Trump described the operation in characteristically direct terms. Iran's response was immediate: on Saturday, it fired at vessels in the Strait and halted all traffic, reversing the partial opening that had driven Friday's oil crash. The reversal is significant because it demonstrates that Iran retains the operational capability and willingness to close Hormuz at will, regardless of the ceasefire framework. The UK-France Hormuz summit of 40 nations on April 17 had been designed to create a multilateral security framework for the waterway; the weekend's events suggest that framework has not yet deterred unilateral Iranian action. China voiced concern over the ship seizure and urged further talks, per Reuters.

CEASEFIRE STATUS	Expires tomorrow April 21 · Extension in-principle only
SHIP SEIZURE	US Navy seized Iranian cargo ship · Hole in engine room
HORMUZ SATURDAY	Iran fired at vessels · Halted all traffic · Reversed opening
TALKS STATUS	Trump: resuming today · Iran: no plan for 2nd round
CHINA	Voiced concern over seizure · Urged further talks

SECTION 03

On Our Radar

1. Tomorrow's ceasefire expiry is the week's defining event. If the extension materializes despite both sides denying it, the market likely holds at these levels. If the ceasefire formally lapses and military operations resume, the recovery from 6,341 to 7,101 faces its first test at all-time-high levels. Oil's direction into Tuesday will be the clearest signal: a sustained recovery above $90 Brent suggests the market is pricing in renewed disruption; continued retreat suggests confidence in the de-escalation trajectory. *Think Like an Owner.*

2. Q1 earnings season enters its heaviest week. With 39 reports today, 78 Tuesday, 123 Wednesday, and 165 Thursday, the fundamental overlay intensifies. The bank cycle delivered the strongest results in years (MS record revenue, Citi +34% EPS growth, BAC reported its strongest trading revenue in recent memory). The question for this week is whether non-financial sectors can match that bar. IOWN holdings reporting in coming sessions include GPC and TEL. Netflix, PepsiCo, and Schwab reported last week; the consumer and tech reads were constructive. *Research Reveals Opportunities.*

3. Fear & Greed at 29 marks a regime shift from Extreme Fear to Fear. The improvement from single digits at the conflict's nadir to 29 reflects genuine repositioning, but the reading remains well below neutral (50). Goldman data showed $86 billion in hedge fund buying last week. If institutional flows continue and the ceasefire extends, Fear & Greed could approach neutral by month-end, which historically supports continued upside. If the weekend's escalation reverses sentiment, the index may dip back into Extreme Fear. **Simplicity Over Complexity.**

4. The energy sleeve is the portfolio's highest-beta position on ceasefire outcome. VLO fell 7.48% on Friday as oil crashed. If Hormuz re-closes fully, VLO, CVX, and OKE could recover that loss and more. If the de-escalation holds, the energy sleeve transitions permanently from war premium to structural recovery. LMT fell 2.52% on Friday as the defense premium faded. The defense and energy sleeves are now anti-correlated with the broader market recovery—a dynamic that was inverted during the conflict's first seven weeks. *Avoid Erosion.*

5. The recovery from 6,341 to 7,101 in approximately three weeks represents a 12% advance. The index is now at all-time highs, and the war that began February 28 has been fully priced out of equities. What has not been priced out: the inflationary damage (March CPI 3.3%, PPI headline 4.0%), the labor market softening (JOLTS hires at pandemic lows), and the structural Hormuz disruption that persists even in a ceasefire scenario. The brief's consistent message through the conflict applies at all-time highs: own the thesis, not the headline. **The physical world matters.**

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